Building Bridges, Creating Opportunities, Shaping a Shared Future

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Foreword

Nicaragua occupies a strategically important position in Central America, combining a diverse natural resource base, agricultural strength, growing manufacturing capabilities and significant potential across tourism, mining, healthcare, pharmaceuticals, technology, renewable energy, infrastructure and logistics. Its geographic location between North and South America provides access to regional markets, while its Pacific and Caribbean coastlines and developing transport infrastructure create opportunities for trade, investment and regional connectivity. The country's young workforce, competitive production environment and expanding private sector further strengthen its potential as an emerging destination for international business partnerships.

Nicaragua's demand for affordable healthcare, technology, investment and value-added production aligns with India's strengths in pharmaceuticals, engineering, digital services, manufacturing, agriculture, renewable energy and entrepreneurship. At the same time, Nicaragua's competitive products, including coffee, premium rum, cigars, agricultural commodities and minerals, present opportunities for greater access to the Indian market.

This Knowledge Paper examines Nicaragua's economic landscape, development priorities, key sectors, challenges and emerging business opportunities, with particular emphasis on how CCI India can contribute to strengthening India–Nicaragua economic and business engagement. It provides a structured assessment of priority sectors and identifies practical avenues for trade promotion, investment facilitation, business matchmaking, technology partnerships, healthcare cooperation, educational exchange, startup collaboration and institutional engagement. Particular attention is given to sectors with strong potential for immediate and medium-term cooperation between Indian and Nicaraguan stakeholders.

The Knowledge Paper is intended to serve as a strategic reference for CCI India's engagement with the Government of Nicaragua, diplomatic missions, chambers of commerce, industry associations, investors, universities and enterprises. Through focused sectoral cooperation, business delegations, institutional partnerships and sustained market engagement, India and Nicaragua can unlock new opportunities for trade, investment, technology transfer and knowledge exchange.



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NICARAGUA

> Experience calm landscapes and simple living slowly.



Basic Facts, Demographics, and Monetary System: Nicaragua, officially the Republic of Nicaragua, is the largest country in Central America, bordered by Honduras to the north, Costa Rica to the south, the Caribbean Sea to the east, and the Pacific Ocean to the west. Its capital and largest city is Managua, the official language is Spanish, and the national currency is the Nicaraguan Córdoba (NIO). The country has a population of approximately 6.9 million people and is known for its rich natural landscapes.

Economy and GDP:
Nicaragua has a developing mixed economy supported by agriculture, manufacturing, trade, mining, tourism, and remittances. Key economic sectors include coffee, beef, gold, sugar, textiles, and food processing, all of which contribute significantly to exports and employment. Agriculture remains a major pillar of the economy, while manufacturing and free trade zone industries have expanded steadily in recent years. Despite challenges such as infrastructure gaps and vulnerability to climate events.

Bilateral Trade and Economic Ties with India
Economic ties between India and Nicaragua are gradually expanding through trade in pharmaceuticals, machinery, engineering goods, chemicals, and textiles. India plays a valuable role in supplying cost-effective healthcare products and industrial goods, while Nicaragua contributes agricultural exports and natural resources. Both countries also engage through multilateral cooperation platforms, encouraging collaboration in education, sustainable agriculture, renewable energy, and development partnerships. As Nicaragua modernizes infrastructure and industry, opportunities for deeper bilateral cooperation with India are increasing.

Bilateral Trade with India (in Billions)
Bilateral trade between India and Nicaragua is approximately USD 209 million annually, reflecting a modest but steadily growing commercial relationship led mainly by Indian manufactured exports and Nicaraguan raw material exports.



Culture and Heritage

Nicaragua has a rich cultural heritage shaped by Indigenous civilizations, Spanish colonial traditions, and Afro-Caribbean influences. Its identity is expressed through folk music, colorful festivals, traditional dances, handicrafts, poetry, and strong religious celebrations. Cultural life is especially vibrant during local patron saint festivals and national celebrations that reflect deep historical roots and community traditions.

Economic Ties

India and Nicaragua share friendly and steadily expanding economic ties built on trade, development cooperation, and technical engagement. India is an important supplier of pharmaceuticals, machinery, chemicals, textiles, and engineering goods that support Nicaragua's healthcare, industrial, and infrastructure needs. In return, Nicaragua exports coffee, gold, seafood, agricultural commodities, and other raw materials to India, creating a complementary trade relationship between India's manufacturing strengths and Nicaragua's natural resource base. Beyond merchandise trade, both countries are exploring greater cooperation in renewable energy, agro-processing, healthcare technology, education, and capacity-building programs. Their engagement through multilateral forums and development partnerships further strengthens bilateral relations, opening new opportunities for long-term investment and sustainable economic collaboration.

Import and Export Composition

Major Exports (Global):

- Coffee
- Gold
- Beef and meat products
- Sugar
- Textiles and apparel
- Seafood

Major Imports (Global):

- Petroleum products
- Machinery and equipment
- Pharmaceuticals
- Vehicles and transport goods
- Chemicals and industrial supplies

Economic Cooperation and Investment :

Economic cooperation between India and Nicaragua is developing steadily through trade, healthcare supply, technical cooperation, and industrial exchange. India's strengths in pharmaceuticals, renewable energy, engineering, and agricultural technology align well with Nicaragua's development priorities.



Culture and People-to-People Ties:

People-to-people ties between India and Nicaragua are supported by diplomatic goodwill, educational exchanges, and cultural cooperation. Indian products, medicines, and cultural influences are gradually gaining visibility, while development partnerships and training programs help deepen bilateral understanding and friendship.

1. Nicaragua at a Glance

1. Geography & Strategic Location

Nicaragua is the largest country by land area in Central America, bordered by Honduras to the north and Costa Rica to the south, with coastlines on both the Pacific Ocean and the Caribbean Sea. This dual-ocean access, combined with membership in the Central American Common Market and duty-free access to the United States under CAFTA-DR, positions Nicaragua as a potential logistics and light-manufacturing platform for companies seeking to serve North American and regional Central American markets simultaneously.

Nicaragua's proximity to major North American consumer markets, its lower labour and operating costs relative to some regional peers, and its participation in Central American regional trade integration make it a relevant, if currently underutilised, node for Indian companies considering a nearshoring or regional-hub strategy for the Americas.

2. Population, Demographics & Human Capital

Nicaragua has a population of approximately 7 million (World Economics, 2025 estimate), with a relatively young demographic profile typical of Central America. A significant share of national income is supplemented by remittances, reflecting substantial emigration, particularly to the United States and Costa Rica; the World Bank identifies remittances as one of the key supports for 2025 growth alongside construction, services and mining.

Human capital development particularly in technical and vocational skills, digital literacy and healthcare training is repeatedly identified by multilateral institutions as a constraint on productivity growth, and represents a specific area where Indian institutions, with deep experience in scalable, affordable skills training, education technology and healthcare workforce development, can add value.

3. Political & Administrative Structure

Nicaragua is a unitary presidential republic. For the purposes of this Knowledge Paper, which is strictly commercial and economic in focus, CCI India does not comment on domestic political matters; the paper confines itself to the economic institutions relevant to trade and investment facilitation, including the Ministry of Development, Industry and Trade (MIFIC), the Central Bank of Nicaragua, and Nicaragua's investment promotion apparatus. Indian companies and investors are advised to conduct their own updated political-risk and compliance due diligence, including in respect of prevailing international sanctions regimes, before committing capital.

4. Economic Snapshot

Nicaragua's official (World Bank) GDP was USD 19.69 billion in 2024, having grown from USD 17.81 billion the prior year (Trading Economics, citing World Bank data). Growth has averaged around 4% over the past three years, moderating slightly to 3.6% in 2024. The IMF's November 2025 Article IV concluding statement projects growth of 3.8% in 2025, moderating to 3.4% in 2026, reflecting softer remittances and export growth amid elevated U.S. tariffs (18%) and global trade uncertainty, alongside the wind-down of U.S. parole and Temporary Protected Status programmes affecting Nicaraguan migrants.

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It should be noted that alternative GDP methodologies that adjust for Nicaragua's large informal economy (estimated at around 46% of economic activity by independent research firm World Economics) produce substantially higher PPP-adjusted GDP estimates (in the region of USD 83–85 billion for 2025–26). This paper uses official World Bank/IMF figures as its primary reference point, as these are the figures used by multilateral lenders and are most directly comparable across countries, while flagging the informal-economy adjustment for context.
Fiscally, Nicaragua is running budget surpluses (projected at 1.5% of GDP in the 2026 draft budget, down from 2.2% in 2025) and maintains healthy external reserves, giving it more macroeconomic buffer than several regional peers, even as public debt (50.3% of GDP in 2025) and an underfunded pension system remain medium-term risks flagged by the IMF.

2. Nicaragua's Economic Landscape

1. Structure of the Nicaraguan Economy

Nicaragua's economy is anchored in four pillars: agriculture and agro-processing, light manufacturing (principally apparel and textiles under free-zone regimes), mining (chiefly gold), and services including tourism. Trading Economics' sector GDP data for 2025 shows manufacturing as the largest single contributor among the components tracked, followed by services, transport, agriculture, public administration, construction and mining reflecting a structural shift over the past two decades away from a purely agrarian economy toward export-oriented manufacturing and mineral extraction.
Trade is exceptionally important to the Nicaraguan economy: exports and imports of goods and services together represent close to or above 100% of GDP by some measures, underscoring both the country's openness and its exposure to global commodity price and demand cycles.

2. Agriculture and Natural Resources

Agriculture remains central to rural employment and export earnings even as its share of GDP has declined relative to manufacturing. Nicaragua is one of Central America's leading coffee producers, with the U.S. Department of Agriculture's Foreign Agricultural Service forecasting a 2025/26 marketing-year harvest of approximately 2.58 million 60-kg bags, up from 2.41 million bags in 2024/25, supported by increased fertiliser use and expectations of a more balanced rainy season. Cattle, dairy, sugar, bananas, beans and sesame are other significant agricultural exports, alongside forestry and fisheries products including lobster.
Natural resource endowments include gold, silver, and other minerals, alongside underexploited renewable energy potential in geothermal, hydro, solar and wind resources Nicaragua already derives a substantial share of its electricity generation from renewable sources, a foundation on which further Indian renewable-energy EPC and equipment partnerships could build.

3. Industry and Manufacturing

Manufacturing, led by textile and apparel maquiladoras operating in free trade zones, is Nicaragua's largest source of formal manufacturing employment and a major export earner, benefiting from duty-free access to the U.S. market under CAFTA-DR. Beef processing, dairy processing, sugar refining and beverage production (including rum) are other significant manufacturing sub-sectors.

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Manufactured exports (excluding gold) generated USD 1.84 billion in 2025, ahead of primary agricultural exports at USD 1.29 billion, according to Central Bank of Nicaragua data reported by Confidencial (2026), reflecting the growing weight of value-added manufacturing in the export basket.

4. Services, Tourism and Digital Economy

Nicaragua's services sector including tourism, transport, logistics, financial services and a nascent business process/IT services segment is a growing contributor to GDP and foreign exchange earnings, cited by the World Bank alongside remittances, construction and mining as a support to 2025 growth. Nicaragua's digital economy remains at an early stage relative to regional peers such as Costa Rica, presenting an opportunity for Indian IT services, digital public infrastructure expertise and startup ecosystem-building support, discussed further in Section 13.

5. Investment Environment and Private Sector

U.S. foreign direct investment into Nicaragua totalled USD 61 million in 2024 (ECLAC, December 2025, cited via the California Chamber of Commerce Trading Partner Portal), a modest figure reflecting both Nicaragua's small economic base and elevated perceptions of political and regulatory risk among some Western investors in recent years. Nicaragua's free-zone regime, which grants tax and duty exemptions to export-oriented manufacturers, remains the country's principal formal investment-incentive instrument and has been the main channel through which textile, apparel and light manufacturing FDI has entered the country.

Challenge	Impact	Potential Opportunity	Possible Indian Contribution
Perceived political and regulatory risk among Western investors	Elevated due-diligence and compliance burden; muted FDI from traditional Western sources	Space for investors from non-traditional partner countries willing to engage on a strictly commercial basis	Indian companies can engage through structured, compliance-first joint ventures and distribution partnerships rather than large-scale direct capital exposure initially
Small domestic market size (~7 million population)	Limits scale economies for market-seeking investment	Nicaragua as an export platform to the US/CAFTA-DR market and wider Central America, not solely a standalone consumer market	Indian manufacturers can use Nicaragua as a regional/export manufacturing base rather than a domestic-demand play
Underdeveloped capital markets and limited access to long-term credit for exporters (e.g., the coffee sector)	Constrains modernisation, working-capital access, and value-addition investment	Trade finance, supplier credit and blended-finance partnerships	Indian EXIM Bank-style trade finance instruments and lines of credit could support Nicaraguan importers of Indian capital goods and agri-inputs

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